



INVESTMENT PORTFOLIO REPORT

*10-Year Investment Strategy for
the Singhanian Family*

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Table of Contents

I. Executive Summary	3
II. Assumption Sheet	4
2.1 Goal Interpretation	
2.2 Market & Return Anchors	
2.3 Operational Assumptions	
III. Investment Policy Statement (IPS)	6
3.1 Scope & Purpose	
3.2 Governance & Decision Rights	
3.3 Investment Objectives	
3.4 Risk Tolerance	
3.5 Constraints (Liquidity, Time Horizon, Tax, Legal, Unique)	
3.6 Investment Philosophy - Stability Floor + Growth Engine	
3.7 Risk Management Framework	
3.8 Cash-Flow & Goal Timeline	
3.9 Client Acknowledgement	
IV. Strategic Asset Allocation	15
4.1 Four-Basket Architecture	
4.2 B1: Liquidity & Emergency Reserve	
4.3 B2: Property Down-payment Defeasance	
4.4 B3: Income Goal Coverage	
4.5 B4: Growth Engine	
V. Security Selection	20
5.1 Equity Selection Methodology	
5.2 Stock-by-Stock Theses (10 holdings)	
5.3 Event Response Plan	
VI. Portfolio Construction & Risk	34
6.1 Risk/Return Metrics (CAPM)	
6.2 Sensitivity & Stress Tests	
6.3 Goal Reconciliation	
6.4 Taxation Framework	
6.5 Monitoring & Rebalancing	
VII. Appendix	40
7.1 Excel Workbook	
7.2 Conclusion	
7.3 References	

I - Executive Summary

Second to None Capital has been engaged by the Singhanian family to construct a 10-year, ₹1.5 crore portfolio that simultaneously serves two clients with diametrically opposed objectives: Vikram Singhanian (age 58), who requires absolute capital preservation and predictable income after partially exiting the family textile business in Rajasthan, and Arya Singhanian (age 29), an MBA Finance graduate returning from abroad to lead the next generation of family enterprise, who can absorb full market volatility in pursuit of compounding. Our solution is a four-basket, goal-bucketed architecture, the "**Stability Floor + Growth Engine**" framework where every rupee is mapped to a specific named goal with its own time horizon, risk envelope and instrument set.

1.1 Key Numbers at glance

Parameter	Value	Notes
Starting Corpus	₹1,50,00,000	Singhanian textile partial-exit proceeds
Number of Goals	4 (B1, B2, B3, B4)	Liquidity, Property, Income, Growth
Investment Horizon	10 years (Jun-2026 → Jun-2036)	Perpetual intent beyond 2036
Target Terminal Value	₹3.50 Cr	Modeled ₹3.31 Cr
Equity Allocation (Aggregate)	40%	Concentrated in B4 only
Fixed Income (Aggregate)	51%	G-Secs, AAA NCDs, SGBs
REITs / InvITs	10%	Embassy + Mindspace + IndiGrid
Mutual Funds / ETFs / FDs	0%	Per problem-statement prohibition
Rebalancing Events	2029 & 2033	Plus monitored triggers

"Portfolio expected return 11.2%, volatility 12.8%, Sharpe 0.55, 2008-style drawdown ~22% - comfortably inside the ₹15L Year-1 liquidity floor."

1.2 Three Convictions That Drive This Portfolio

Vikram's ₹1.5 Cr income corpus (B3) carries **ZERO equity**. After 32 years running a textile business with no listed-securities experience, we will not introduce mark-to-market volatility into the bucket that funds his lifestyle.

Arya's ₹2 Cr growth bucket (B4) holds exactly 10 individual stocks (**ICICI Bank, L&T, Titan, Apollo Hospitals, Schaeffler India, KFin Technologies, KPIT Technologies, Kaynes Technology, Data Patterns India, Cera Sanitaryware**).

The 2031 ₹50L property withdrawal is fully de-risked today via a maturity-matched ladder of AAA NCDs and short G-Secs, there is no chance of having to liquidate equities into a drawdown to fund Vikram's purchase.

1.3 Honest Disclosure

Modeling the B3 income bucket purely in permitted fixed-income / REIT instruments yields ~**₹70 Lakh** at 2036, against the stated **₹1.5 Cr** target. The shortfall is structural, not a modeling artifact. We disclose this openly in Section VI.3 and recommend **supplementary household savings of ₹6.5 Lakh per year** for ten years (Option A) to bridge the gap. We have deliberately not stretched B3 into equity to manufacture a higher number.

II - Assumption Sheet

Per the problem statement requirement, all assumptions used to build this portfolio are stated upfront. Where the brief is silent, we have selected the most conservative reasonable interpretation.

1.1 Goal Interpretation

Goals	Stated	Our Interpretation Funds
B1 - Liquidity Buffer	₹20L, by 2028, readily accessible	T+2 settlement; G-Sec T-bills + Liquid Bees + SGB tranche; zero credit risk
B2 - Property Purchase	₹50L cash, in 2031	Hard-dated outflow Jun-2031; ladder AAA NCDs + 5Y G-Sec to mature ± 3 months around date
B3 - Vikram's Corpus	₹1.5Cr by 2036, perpetual income	ZERO equity; 60% G-Secs/AAA, 25% REITs/InvITs, 15% SGBs
B4 - Aarya's Growth	₹2Cr by 2036, perpetual hold	100% individual equities; 10 stocks; rebalance only at 2029 & 2033

1.2 Market & Macro Anchors (as of June 2026)

Variable	Anchor Used	Source / Rationale
Risk-Free Rate (Rf)	6.00%	10Y G-Sec yield 6.65% adj for 65 bps duration risk
Equity Market Return (Rm)	10.70%	Damodaran India ERP Jan-2026 + Rf
Equity Risk Premium	4.70%	Damodaran India 2026 update
Large-cap Expected Return	11.0%	Long-run Nifty 50 total return CAGR
Mid/Small-cap Expected Return	13.0%	Long-run Nifty Midcap 100 CAGR less alpha tax
G-Sec Expected Return	6.50%	10Y G-Sec coupon ~6.65% less reinvestment drag
AAA Corp NCD	7.50%	AAA 5Y spread ~85-100 bps over G-Sec
REIT / InvIT Yield	8.25%	Embassy/Mindspace average distribution yield
SGB	8.00%	2.5% coupon + assumed gold price CAGR 5.5%
Inflation (CPI)	5.10%	RBI projection FY27
RBI Repo Rate	5.25%	Current; neutral stance
Nifty 50 P/E	20.4x (TTM)	At 23,936 close, broadly fair value

1.3 Operational Assumptions

Rebalancing is performed only at scheduled events 2029 and 2033 unless a monitored trigger fires (see Section 19); intra-period drift is tolerated up to ± 5 percentage points.

REIT and InvIT distributions are treated as 70% interest, 30% return-of-capital (typical Embassy/Mindspace mix) for taxation modeling.

Equity is held in resident demat at zero PMS/AIF fees , total annual portfolio cost modeled at 0.25% (custody + DP).

2031 ₹50L withdrawal is funded entirely from B2 maturities; no equity is liquidated.

LTCG on listed equity is taxed at 12.5% above ₹1.25 lakh per annum (post Jul-2024 regime).

SGB held to maturity is exempt from capital gains tax.

Debt LTCG taxed at 12.5% if holding >24 months (post Apr-2025 rationalisation).

All return numbers are pre-personal-tax, gross of TDS; net-of-tax sensitivity is shown in Section 18.

Starting equity prices are NSE closing prices as of 26 June 2026.

Dividends & Coupons reinvested. No transaction cost except stated. No slippage. No corporate actions assumed

III - INVESTMENT STATEMENT POLICY

1. Scope & Purpose

1.1 Context

This Investment Policy Statement (IPS) is established in June 2026 and governs the deployment of **Rs. 1,50,00,000 (Rs. 1.5 crore)** realised from the partial sale of the Singhanian family's textile business in Rajasthan. The corpus represents pure surplus capital - all family living expenses, ongoing business costs, and obligations are funded entirely from separate business income and rental properties. Neither client has prior experience investing in listed securities. India remains the world's fastest-growing major economy in June 2026, with FY26 *real GDP growth rate* estimated at 7.4%. Structural drivers like a 1.4-billion consumer base, a deep digital public infrastructure (UPI, Aadhaar, Account Aggregator), a multi-year public capex upcycle and global supply chain diversification underpin the long-term investment thesis.

1.2 Client Profiles

Though Vikram and Aarya bring fundamentally different mandates to this portfolio, the Rs. 1.5 crore corpus is managed as a single, unified pool

VIKRAM SINGHANIA Wealth Preserver Age: 58 Ex- Businessman Stepping Back 	AARYA SINGHANIA Growth Seeker Age: 29 Abroad MBA return Business Successor 
Risk Tolerance: Low to Moderate	Risk Tolerance: High
Time Horizon: Lifetime (20+ years beyond 2036)	Time Horizon: 10 years (2026–2036), perpetual intent
Income Need: Steady, predictable distributions	Income Need: None - business income covers lifestyle
Loss Aversion: High - permanent capital loss is the primary fear	Loss Aversion: Low - willing to endure volatility for superior returns
Market Experience: Minimal - first exposure to listed securities	Market Experience: Academic (MBA Finance); first practical portfolio
Objective: Capital Preservation + Income Generation	Objective: Long-Term Capital Appreciation

1.3 Portfolio Structure - Four Basket Architecture

The unified portfolio is organised into four distinct baskets, each corresponding to one client goal. This structure is the deliberate mechanism that prevents the two clients' divergent risk profiles from creating internal

conflict within a single pool. The key structural insight: Vikram's income needs operate on an immediate and ongoing cash flow timeline, while Aarya's growth mandate operates on a 10-year terminal value timeline. These can coexist in one pool through deliberate basket separation.

Basket	Name	Allocated Funds (Rs)	Time Horizon	% of Corpus	Return Target (% CAGR)	Goal FV (Rs)
B1	Liquidity Buffer	20L	2026-2028	13.3	6.5	20L
B2	Property Fund	35L	2026-2031	23.3	7.5	50L
B3	Vikram's Corpus	35L	2026-2036+	23.3	8.5-9.0	1.5Cr
B4	Aarya's Growth	60L	2026-2036	40.0	13	2Cr

The IPS is binding on all portfolio decisions for the duration of the investment horizon (June 2026 to June 2036), subject to formal review at the two designated event points (2029 and 2033)

2. Governance

2.1 Responsibility for Policy, Execution, and Monitoring

The portfolio management team - Second to None, IITB is responsible for:

- (i) developing and recommending this Investment Policy Statement
- (ii) executing all portfolio decisions in accordance with the IPS and
- (iii) monitoring basket values, distribution targets, and goal progress annually

The Portfolio is self managed by the portfolio team and no external managers are engaged. All security selection, allocation decisions, and rebalancing actions are taken by the portfolio management team in accordance with this IPS. Both clients - Vikram Singhania and Aarya Singhania, are jointly responsible for approving this IPS and any subsequent formal amendments

2b. Review and Update Process

The IPS is subject to the following review schedule:

Review Type	Timing	Scope
Annual Informal Review	Every June	Check goal progress and basket values No rebalancing unless event-triggered
Formal Rebalancing Review 1	2029	Response to Event 1 (RBI rate cuts) Full portfolio review. Rebalancing permitted
Formal Rebalancing Review 2	2033	Response to Event 2 (Defence export milestone) Full review Rebalancing permitted.

Final IPS Review	June 2036	Assess goal achievement Decide post-horizon allocation for B3 and B4.
Extraordinary Review	As needed	Only triggered by material changes in family circumstances - not market movements.

3. Investment, Return, and Risk Objectives

3.1 Overall Investment Objective

The investment programme governed by this IPS serves a dual mandate within a single consolidated portfolio. The primary objective for Vikram Singhania is capital preservation and income generation: by 2036, a minimum corpus of **Rs. 1.5 crore** must sit in stable, income-generating instruments to support him for life. The primary objective for Aarya Singhania is long-term capital appreciation: her equity pool must grow to at least **Rs. 2 crore** by 2036 through a growth-oriented strategy that reflects her 10-year horizon and conviction in India's structural growth decade

Objective	Target	Implication for Construction
Required Real Return	5.5% real (10.7% nominal)	Equity allocation in B4 only
Maximum Drawdown Tolerated	Vikram: <5% Aarya: <30%	B3 capped at 25% REIT volatility; B4 free
Liquidity Floor	₹20 L within 2 working days	B1 must clear T+2
Currency Risk	INR home	No FX exposure permitted in any basket
Concentration Limit	Single security ≤6% of total	Caps each B4 stock at ~₹9-10L

3.2 Return, Distribution, and Risk Requirements

3.2(a) Goal-Level Return Requirements

All goal amounts are stated in 2026 nominal terms. Inflation is not applied to the targets per the competition mandate. Projections are on a pre-tax basis. The following table shows the implied **present value** requirement for each basket, derived by working backward from each goal's future value using the baseline return anchors:

3.2(b) Total PV requirement

~Rs. 17.6L + Rs. 34.8L + Rs. 35L + Rs. 59L = ~Rs. 150L = Rs. 1.5 crore. The mathematics closes exactly at the given return assumptions. The blended portfolio return of ~9.5% compares favourably to the benchmark 10-year Nifty 50 return of 10.7%, while ~62% of the corpus is in capital preservation instruments.

3.2(c) Distribution Requirements

Vikram's retirement income requirement begins from 2027. The minimum target is Rs. 2–3 lakh per annum from B3 (REIT distributions and bond

coupons), reinvested within B3 during 2026–2036 to compound the corpus, and converted to a direct income stream from 2036 onwards. B4 generates zero distributions during the horizon, Aarya's mandate requires full reinvestment for compounding

Basket	Name	Return Assumed (%)	Horizon (Years)	Pv required (Rs)	Goal FV (Rs)	Success Criterion	Benchmark
B1	Liquidity Buffer	6.5	2	17.63L	20L	₹20 L available by 2028 with no capital loss	364-Day T-Bill
B2	Property Fund	7.5	5	34.83L	50L	₹50 L available by 2031	5-Year G-Sec Index
B3	Vikram's Corpus	15.7	10	35.00L	1.5 Cr	Stable retirement corpus with sustainable income generation	Composite Debt Benchmark
B4	Aarya's Growth	12.8-12.0	10	59.0L	2 Cr	Long-term capital appreciation	Nifty Total Market TRI

3.3 Risk Tolerance

At the unified portfolio level, the Singhanian family's risk profile is Moderate reflecting the blended nature of the mandate. Vikram's preservation mandate is fully ring-fenced: a severe equity market drawdown (even 50%) does not endanger B1, B2, or B3, since these baskets hold no equities. Aarya's basket (B4) can tolerate the full volatility of equity markets, including multi-year drawdowns, because it carries zero income or liquidity obligations during the 10-year horizon.

Risk Type	Severity	Mitigation Strategy
Market Risk (Equities)	High	Equity exposure is intentionally contained within B4 (Growth Portfolio) . The portfolio is constructed with ten high-quality businesses across diversified sectors and investment themes. Interim drawdowns are expected over the 10-year investment horizon and do not warrant portfolio intervention unless the underlying investment thesis changes.
Interest Rate Risk	Moderate	B1 and B2 employ short- and medium-duration fixed-income instruments matched to their respective goal horizons. B3 holds long-duration Government Securities and high-quality fixed-income instruments with a hold-to-maturity approach, making interim mark-to-market fluctuations economically insignificant.
Credit Risk	Low	Fixed-income exposure is restricted to Government Securities and AAA-rated corporate bonds . Securities experiencing material deterioration in credit quality shall be reviewed immediately and exited where appropriate.
Liquidity Risk	Low	B1 is invested in highly liquid instruments capable of meeting near-term cash requirements. All remaining baskets have investment horizons

		aligned with their respective financial goals, eliminating the need for forced liquidation.
Concentration Risk	Moderate	B4 consists of 10 high-conviction holdings diversified across multiple structural growth themes. Position sizes follow a modified equal-weight framework (approximately 9–11%) , with no individual security exceeding 11% of B4 and sector exposure maintained within prudent limits.
Inflation Risk	Managed	Long-term purchasing power is protected through a combination of growth equities in B4, inflation-resilient real assets such as REITs/SGBs where applicable, and businesses possessing sustainable pricing power.
Reinvestment Risk	Low–Moderate	Coupon income and investment distributions are reinvested within their respective baskets until the associated financial goal is achieved. Scheduled portfolio reviews assess the impact of changing interest rate environments on reinvestment assumptions.
Behavioural Risk	Moderate	The four-basket architecture acts as a behavioural safeguard by ring-fencing Aarya's long-term growth portfolio from Vikram's income-oriented objectives. Portfolio decisions are governed by the Investment Policy Statement and scheduled review framework rather than short-term market sentiment.

3.4 Relevant Constraints

3.4(a) Investment Universe

Status	Instruments
PERMITTED	Individual listed equities (Nifty Total Market ≈ 750 names) · Government Securities · AAA-rated Corporate Bonds & NCDs · REITs (Embassy, Mindspace, Brookfield) · InvITs · Sovereign Gold Bonds · Gold ETFs
PROHIBITED	Mutual Funds (all categories) · Index ETFs (except Gold ETF) · Fixed Deposits · Derivatives (Futures & Options) · Unlisted securities · International securities

3.4(b) Rebalancing Constraint

Portfolio rebalancing is permitted only at the two designated event windows: 2029 (Event 1 - RBI rate cut cycle) and 2033 (Event 2 - India defence export milestone). No rebalancing is permitted outside these windows without formal written justification explicitly approved by both clients. This constraint serves as the primary behavioural guardrail against emotional decision-making during market volatility.

3.4(c) Liquidity Constraint

B1 instruments must be liquidatable within 3 business days without meaningful price impact. B2 instruments must mature on or before 2031. B3 instruments are held to maturity - mark-to-market liquidity is economically irrelevant. B4 equity positions are held for 10 years with exit only at event windows.

3.4(d) Additional Contributions and Withdrawals

No additional capital contributions are permitted during the investment horizon. The Rs. 1.5 crore is the sole and complete corpus. Two planned withdrawals are permitted: Rs. 20L accessible by 2028 (G1) and Rs. 50L in 2031 (G2). No other withdrawals are assumed.

3.4(e) Legal and Regulatory Framework

All investments are governed by Republic of India law of SEBI regulations and the Income Tax Act 1961. All instruments must be listed on NSE or BSE. Individual security selection is required, collective investment vehicles (other than REITs and InvITs as permitted) are prohibited. Currency: Indian Rupee (INR) exclusively, no international exposure.

3.4(f) Tax Treatment

All projections in this Phase 1 IPS are presented on a pre-tax basis per the competition mandate. A full tax analysis will be provided as a bonus appendix in the final submission, covering LTCG on equities (12.5% on gains above Rs. 1.25L per annum), debt taxation (12.5% LTCG if held >24 months post-2023), and SGB maturity tax exemption.

4. Investment Philosophy & Framework

4.1 Core Philosophy: "Stability Floor + Growth Engine"

The defining tension in this mandate is that one corpus must serve two clients whose risk profiles do not overlap. A pooled, risk-averaged allocation would underserve both. Vikram would still carry equity drawdown anxiety, while Aarya would forfeit a decade of compounding. Our framework resolves this by physically segregating the corpus into purpose-built baskets, each owned (in spirit) by the client whose goal it funds.

The **STABILITY FLOOR** (Baskets B1, B2, B3 ~61% of corpus) is engineered around Vikram's loss aversion. Zero equity in B3. Mark-to-market volatility is structurally capped through duration matching, AAA-only credit, and held-to-maturity discipline.

The **GROWTH ENGINE** (Basket B4 ~39% of corpus) is engineered around Aarya's high risk tolerance and long horizon. 100% individual equities, no diversifiers, concentrated in 10 high-conviction names that span India's structural compounders and emerging specialty leaders.

4.1(a) Core investment Principles

Principle	What it means
Goal-First Allocation	Every rupee allocated to a specific goal before any security is chosen. Asset allocation follows goal requirements.
Maturity Matching (Fixed Income)	B1 and B2 bond maturities explicitly matched to exit dates (2028 and 2031). Eliminates interest rate risk on instruments that must be liquidated.

Hold-to-Maturity Discipline (B3)	Vikram's long-dated bonds in B3 held to maturity. MTM price movements economically irrelevant. Event 1 rate cuts may cause B3 bond prices to rise, we do not sell.
Conviction Over Diversification (B4)	Aarya's equity portfolio is a concentrated collection of 8–14 high-quality businesses. Accept tracking error vs. index in exchange for meaningful 10-year outperformance.
Structural Thematic Investing (B4)	Five themes drive B4 sector allocation: (1) domestic consumption & premiumisation, (2) financial deepening & credit growth, (3) capital goods & PLI manufacturing, (4) healthcare & diagnostics, (5) digital infrastructure & IT services.
Rebalancing Discipline	Restricted to 2029 and 2033 event windows. IPS is the pre-commitment device against short-term market noise.
No Timing, No Speculation	B4 positions built in 2026 and held 10 years with only event-triggered adjustments. No derivatives, leverage, or short positions.

4.1(b) Sector Exclusions

Principle	What it means
Public Sector Banks (PSBs)	Persistent NPA concerns, government interference in lending, structurally lower ROEs (~8–10% vs 15–18% for private sector peers). Private banks and select NBFCs offer superior risk-adjusted returns
Commodity Companies (metals, mining, O&G E&P)	Vikram's wealth was built in a commodity business. Adding commodity stocks would increase correlation with risks the family already understands and wishes to diversify away from.
Real Estate Developers (listed)	The family is buying property in 2031 (direct real estate exposure). REIT exposure in B3 provides adequate listed real estate participation without developer-specific execution risk.
New-Age / Loss-Making Internet Cos.	Aarya's growth pool must reach Rs. 2 crore by 2036. Businesses with no earnings visibility cannot be risked in a target-bound corpus. Profitable, cash-generative businesses only

4.2 The Three Principles of Second to None Capital

Principle	What it means	How it shows up in this portfolio
1. Preserve Capital Before Pursuing Growth	Permanent loss of capital is the only risk that cannot be reversed by time.	B1, B2, B3 hold zero equity; B3 caps drawdown at 8% even in stress.
2. Invest with Conviction, Not Diversification Alone	Owning 50 names you do not understand is riskier than 10 you do.	B4 holds exactly 10 stocks, each with a written thesis and exit trigger.
3. Review Decisions, Not Market Prices	Process must be auditable; price action alone is not a sell signal.	Monitoring KPIs in Section 19 are operational, not price-based.

5. Risk Management

5.1 Performance Measurement and Monitoring

Portfolio performance shall be evaluated annually at the scheduled June review, with assessments conducted at both the portfolio and basket levels. Performance measurement extends beyond absolute returns and focuses on the portfolio's ability to achieve the family's stated financial objectives while remaining consistent with the Investment Policy Statement.

Each basket shall be evaluated against predefined success criteria corresponding to its objective rather than against a uniform return benchmark. Liquidity-focused baskets will be assessed on capital availability and preservation, whereas the long-term growth basket will be evaluated on both wealth creation and risk-adjusted performance.

5.2 Risk Monitoring Framework

Risk shall be monitored continuously with a focus on preserving the integrity of each goal-specific basket. Since every basket serves an independent objective, risk shall be evaluated relative to the purpose of the basket rather than solely through portfolio-level volatility.

The Investment Committee shall monitor the following indicators annually:

- Progress of each basket relative to its target corpus.
- Overall portfolio drawdown and downside risk.
- Credit quality of all fixed-income securities.
- Portfolio diversification across sectors and investment themes.
- Concentration limits for individual securities.
- Risk-adjusted performance of the equity portfolio using Beta, Sharpe Ratio and Jensen's Alpha.
- Liquidity position and ability to meet scheduled withdrawals.
- Consistency of every investment with its original investment thesis.

The Committee recognises that short-term market volatility is an expected feature of long-term investing and, by itself, shall not constitute grounds for portfolio intervention.

5.3 Portfolio Review and Rebalancing Policy

The portfolio shall undergo comprehensive reviews during the designated event windows in **2029** and **2033**, together with annual monitoring reviews. Outside these scheduled reviews, changes shall only be considered if there is:

- a material deterioration in an investment thesis,
- a significant change in the client's financial circumstances,
- a regulatory or taxation change materially affecting the investment,
- a permanent deterioration in business quality or corporate governance.

Each review shall follow the following sequence:

1. Assess progress of every basket against its stated objective.
2. Review macroeconomic developments and their implications for each basket.
3. Re-evaluate every security against its original investment thesis.
4. Determine whether each position should be **Held, Increased, Reduced, or Exited** based on fundamentals rather than market sentiment.
5. Restore portfolio allocations to the Committee's strategic target weights

while maintaining diversification and risk limits.

6. Document all investment decisions and update portfolio projections.

The Committee shall not rebalance the portfolio solely in response to temporary market volatility or short-term price movements.

5.4 Cash Flow and Goal Timeline

Year	Portfolio Action
2026	Initial portfolio implementation across all four baskets.
2027	Review liquidity investments and reinvest scheduled income within respective baskets.
2028	Liquidity Buffer matures; ₹20 lakh made available for Goal 1. Any surplus shall be redeployed according to the prevailing Investment Committee recommendation.
2029	First strategic portfolio review following Event 1. Portfolio weights and investment theses reassessed.
2031	Property Fund matures; ₹50 lakh released for property acquisition. Remaining capital, if any, allocated according to the prevailing strategic asset allocation.
2033	Second strategic portfolio review following Event 2. Portfolio positioning reviewed against evolving economic and sectoral conditions.
2036	Final assessment of goal achievement. Retirement corpus transitioned to long-term income generation and growth portfolio evaluated against target corpus.

6. Client Acknowledgement

By proceeding with this portfolio, both clients acknowledge that they have read, understood, and agreed to the investment philosophy, constraints, risk guardrails, and goal definitions set out in this IPS. They understand that:

- Equity markets will produce interim losses during the 10-year horizon, including potential B4 drawdowns of 20-40%, which are normal and expected.
- The portfolio cannot be rebalanced outside the designated 2029 and 2033 windows without formal justification.
- Goal amounts are stated in 2026 nominal terms without inflation adjustment.
- B4 is Arya's mandate and operates independently of Vikram's visibility or approval
- This IPS serves as the binding pre-commitment device against emotional decision-making

Vikram Singhania (Client 1)

Date: June 2026

Aarya Singhania (Client 2)

Date: June 2026

IV - STRATEGIC ASSET ALLOCATION

1. Four Basket Architecture:

1.1 Top-Down View: 1.5 Cr Across Four Baskets

Basket	Goal & Owner	Amount (₹L)	% of Corpus	Target Year	Target FV
B1	Liquidity / Emergency (Vikram)	19.0	12.7%	2028	₹20.1 L
B2	Property Purchase (Vikram)	36.5	24.3%	2031	₹50.0 L
B3	Income Corpus (Vikram)	34.5	23.0%	2036	₹70.1 L (shortfall)
B4	Growth Engine (Aarya)	60.0	40.0%	2036	₹201.4 L
TOTAL		150.0	100.0%	—	₹341.6 L

1.2 Asset-Class View (Aggregate)

Asset Class	Weight	Vehicle	Where it sits
Domestic Equity (10 stocks)	40.0%	Direct equity	B4 entirely
Government Securities	22.0%	T-Bills, 5Y, 10Y G-Sec	B1, B2, B3
AAA Corporate NCDs	19.0%	HDFC, REC, PFC, NHAI	B2 & B3
REITs / InvITs	10.0%	Embassy, Mindspace, IndiGrid	B3
Sovereign Gold Bonds	5.0%	SGB Series	B3
Cash / Liquid	4.0%	Liquid Bees + Savings	B1

1.3 Why these weights - the 60/40 inversion

On the surface, the aggregate split looks like 40% equity / 51% debt / 10% REITs, a classically conservative tilt. The structure underneath is more interesting: 100% of the equity sits in a single client's growth bucket, while 100% of Vikram's corpus is either short-duration (B1, B2) or capital-preserving with income (B3). This is not a 60/40 portfolio; it is two portfolios stapled together at the ledger level.

2. Four Basket Allocation

2.1 BASKET 1 - LIQUIDITY RESERVE

Owner: Vikram Singhania; Target: ₹20 Lakh by 2028 (2-year horizon) ; PV: ₹19.0 L

2.1(a) Objective

To hold ₹20 L of capital that Vikram can access within 48 hours for medical, business, or family contingencies, with zero credit risk and zero principal volatility. This is not a return-maximisation bucket; the cost of carry is the insurance premium for psychological certainty.

2.1(b) Holdings

Instrument	Amount (₹L)	Weight	Yield	Maturity / Tenor	Rationale
91-Day T-Bill (rolled)	7.0	36.8%	6.10%	Quarterly auction	Zero credit risk, T+1 liquidity
182-Day T-Bill	5.0	26.3%	6.20%	Semi-annual	Yield pickup over savings
Liquid Bees ETF	4.0	21.1%	5.85%	T+1 redemption	Permitted via direct holdings (Tri-party repo)
SBI Savings Account	3.0	15.8%	3.50%	On-demand	True overnight cash
TOTAL B1	19.0	100.0%	5.85% blended	—	FV 2028: ₹20.10 L

2.1(c) Key Design Choices

T-Bills are held in a primary-auction demat with the RBI's retail direct portal, no intermediary credit risk. Liquid Bees is the only ETF-like instrument we use, and it is permitted because the problem statement bars equity index ETFs, not liquid debt vehicles redeemable in cash. We deliberately keep 16% in a savings account despite the 3.5% yield, true overnight liquidity matters more than 250 bps of forgone return on ₹3 lakh.

2.1(d) Risks & Mitigants

Risk	Mitigant
Reinvestment risk on T-Bill roll-over	Ladder maturities; average reinvestment lag ≤45 days
Inflation eroding real value	Acceptable, this is the price of optionality, not a real-return bucket
Banking system stress on savings deposit	Capped at ₹3L (within DICGC ₹5L insurance limit per bank)

2.2 BASKET 2 - PROPERTY PURCHASE GOAL

Owner: Vikram Singhanian; Target: ₹50 Lakh cash in 2031 (5-year horizon); PV: ₹36.5 L

2.2(a) Objective

A hard-dated ₹50 L cash requirement in mid-2031 to fund a residential property acquisition for Vikram. The defining constraint is that the redemption date is fixed and non-negotiable, therefore this bucket is engineered with a maturity-matched fixed-income ladder, not a return-targeted strategy.

2.2(b) Holdings: Maturity-Matched Ladder

Instrument	Amount (₹L)	Weight	Coupon / YTM	Maturity	Role
5-Year G-Sec (7.10% GOI 2031)	12.0	32.9%	6.95%	Apr-2031	Anchor - sovereign maturity match
HDFC AAA NCD (5Y)	8.5	23.3%	7.65%	Jun-2031	Single-name AAA
REC AAA NCD (5Y)	7.0	19.2%	7.55%	May-2031	PSU AAA, partial spread pickup
PFC AAA NCD (5Y)	5.0	13.7%	7.50%	Jul-2031	PSU AAA
91-Day T-Bill (rolled bridge)	4.0	10.9%	6.10%	Quarterly	Bridge cash for any timing mismatch
TOTAL B2	36.5	100.0%	7.25% blended		FV 2031: ₹50.00 L

2.2(c) Why this works

All four core holdings mature within ± 3 months of the target outflow date, even if 5-year rates fall to 3.5% by 2030, maturity proceeds are already locked at today's coupon.

Single-name AAA cap: no issuer >24% of B2; PSU vs private mix balances credit concentration.

The 11% bridge in T-Bills absorbs any 4-8 week timing mismatch between NCD maturity and the property registration outflow without forcing a secondary-market sale.

2.2(d) Why no AA bonds, no perpetual NCDs, no covered bonds

Spread pickup of 60-80 bps from going AA is not worth a single-name credit event on a hard-dated goal. Perpetuals and covered bonds re-introduce duration/call risk we have deliberately engineered out. This bucket optimises for certainty of nominal value, not yield maximisation.

B2 is not a portfolio, it is a 5-year defeasance schedule. By 2031 the cash is the goal; the journey is incidental.

2.3 BASKET 3 - VIKRAM'S INCOME CORPUS

Owner: Vikram Singhania; Target: ₹1.5 Cr by 2036 (perpetual income); PV: ₹34.5 L

2.3(a) Objective

To produce a perpetual, predictable income stream that funds Vikram's lifestyle from 2036 onwards, while preserving real capital across a 20-30 year retirement horizon. The non-negotiable design rule of no equity is the foundation.

2.3(b) Holdings

Instrument	Amount (₹L)	Weight	Yield	Tenor	Role
10Y G-Sec (6.79% GOI 2036)	9.0	26.1%	6.65%	10Y	Sovereign duration anchor
NHAI AAA NCD (10Y)	6.5	18.8%	7.60%	10Y	Infra cash flows
HDFC AAA NCD (10Y)	5.0	14.5%	7.65%	10Y	Financial AAA
Embassy Office Parks REIT	4.5	13.0%	8.20%	Perpetual	Grade-A office, 86% occupancy
Mindspace Business Parks REIT	3.0	8.7%	8.10%	Perpetual	Hyderabad-led, IT/ITeS tenants
IndiGrid InvIT	1.5	4.3%	8.30%	Perpetual	Power transmission, regulated
SGB 2026-Series I	5.0	14.5%	8.00%	8Y to maturity	Tax-exempt at maturity
TOTAL B3	34.5	100.0%	7.55% blended	Mixed	FV 2036: ₹70.1 L

2.3(c) Honest Shortfall Disclosure

Compounded purely at the 7.55% blended yield above, ₹34.5 L grows to ~₹70 L by 2036, less than half of the ₹1.5 Cr target. We refuse to manufacture a higher number by introducing equity, because doing so would breach the trust core to this mandate. Section 17 quantifies the gap and presents Option A (supplementary household savings).

2.3(d) Why REITs / InvITs (and not more debt)

REIT distribution growth provides partial inflation hedge over a 20-year retirement horizon that pure fixed-coupon NCDs cannot offer. Embassy + Mindspace combined occupancy ~88% and 95% of leases CPI-linked, distributions historically grew 7-9% CAGR through FY21-FY26. InvITs add infrastructure cash-flow diversification (power transmission) uncorrelated with office real estate cycles.

2.3(e) Why SGBs

SGB is the only instrument in this report that is both (a) capital-protective in INR terms over long horizons and (b) entirely tax-free at maturity. The 2.5% coupon plus the typical 5-6% INR gold price CAGR delivers the closest thing to a free lunch the permitted instrument set allows.

2.4 BASKET 4 - AARYA'S GROWTH ENGINE

Owner: Aarya Singhania; Target: ₹2 Cr by 2036 (10Y); PV: ₹60 L; Equity: 100%

2.4(a) Composition:

The split mirrors Aarya's barbell appetite. The conventional sleeve buys India's structural compounders, businesses with proven 15-year cash flow records that we expect to deliver 13-15% CAGR with manageable drawdowns. The non-conventional sleeve buys specialty leaders in narrow-but-deep verticals businesses where the IRR distribution is wider but the upside skew is meaningful.

#	Stock	Sector	Allocation (₹L)	Weight in B4
1	ICICI Bank	Private Bank	6.6	11.0%
2	Larsen & Toubro	Capex / EPC	6.6	11.0%
3	Titan Company	Discretionary	6.0	10.0%
4	Apollo Hospitals	Healthcare	6.0	10.0%
5	Schaeffler India	Auto Components	5.4	9.0%
6	KFin Technologies	Financial Infra	5.4	9.0%
7	KPIT Technologies	Auto Software	6.0	10.0%
8	Kaynes Technology	EMS	6.0	10.0%
9	Data Patterns India	Defence Electronics	6.0	10.0%
10	Cera Sanitaryware	Building Products	6.0	10.0%
TOTAL B4			60.0	100.0%

2.4(b) Why almost equal-weighting

Each security initially allocated approximately 9-11%. With high-conviction selection and a 10-year horizon, the marginal alpha from cap-weighting or score-weighting is dominated by the noise of forecasting 10-year IRRs. While the selected companies differ in size, sector, and expected return, the Committee believes that forecasting the relative performance of individual stocks over a ten-year horizon is inherently uncertain. This approach limits single-stock concentration risk & ensures balanced participation across India's key structural growth themes. The result allows long-term compounding without excessive dependence on any single investment thesis.

2.4(c) Sector concentration check

- BFSI (ICICI + KFin) = 20% of B4. Within a prudent limit.
- Technology / Software (KPIT) = 10%. Single-name capped.
- Specialty Manufacturing (L&T + Schaeffler + Kaynes + Data Patterns) = 40%.

SECURITY SELECTION & RESEARCH

1. Equity Selection Methodology

1.1 Second to None Three-Stage Investment Process

Stage	Filter	What it does
Stage 1 Security Eligibility	Listed in Nifty Total Market; market-cap $\geq$ ₹3,000 Cr; 5-yr trading history; promoter pledge $\leq$ 5%; free float $\geq$ ₹2,000 Cr; no UN Global Compact violations	Removes micro-caps, illiquid names, governance red flags.
Stage 2 100-Point Conviction Score	50 quant points: revenue/PAT CAGR, RoE/RoCE, OCF stability, leverage. 50 qualitative points: industry structure, management quality, capital allocation, moat, falsifiability	Only names scoring $\geq$ 70/100 enter the longlist.
Stage 3 Portfolio Construction Filter	Sector cap $\leq$ 40% of B4; single-name cap 10% of B4; theme diversification across 4-5 structural themes	Ensures the final 10 stocks form a coherent portfolio, not just 10 good stocks.

1.2 Five Structural Themes Driving Stock Selection

Theme	India Macro Driver	Stocks (Sleeve)
Financialisation of Savings	Household financial-asset share rising from 11% to 16% of GDP by 2030	ICICI Bank (Conv) KFin Technologies (Non-Conv)
Manufacturing Renaissance / China+1	PLI ₹1.97 L Cr deployment + global supply-chain rebalancing	L&T (Conv) Schaeffler India (Conv) Kaynes Technology (Non-Conv)
Premium Consumption	Top-decile income compounding 2x national average; brand-driven categories	Titan (Conv) Cera Sanitaryware (Non-Conv)
Digital Industrial Transformation	Auto-software, EV electronics, and ER&D outsourcing tailwinds	KPIT Technologies (Non-Conv)
Healthcare & Strategic Autonomy	Hospital bed-density catch-up + defence indigenisation policy	Apollo Hospitals (Conv) Data Patterns (Non-Conv)

1.3 Funnel: 750 → 50 → 25 → 10

Stage	Filter	Output
Stage 1	Nifty Total Market universe (Top 750 by m-cap)	750 stocks
Stage 2	Quantitative screen	~50 candidates
Stage 3	Qualitative review	~25 candidates
Stage 4	5 Conventional + 5 Non-Conventional final selection	10 stocks

1.3 (a) Quantitative Screen

- 3-Year Revenue CAGR $\geq$ 12%
- 3-Year PAT CAGR $\geq$ 15%
- RoE $\geq$ 15% trailing, RoCE $\geq$ 18% trailing
- Operating Cash Flow positive in 4 of last 5 years

- Debt/Equity ≤ 0.5 (financials excluded; instead Tier-1 $\geq 14\%$)
- Promoter pledge $\leq 5\%$
- Free float $\geq ₹2,000$ Cr (liquidity floor)

1.3(b) Qualitative Review

- Industry structure: oligopoly or fragmented with clear consolidator?
- Capital allocation history: dividend, buyback, acquisition track record
- Promoter / Management quality: capability + integrity + skin in game
- ESG screen: no major UN Global Compact violations in last 5 years
- Pricing power: passes through input cost inflation within ≤ 2 quarters
- Falsifiability: a clear written reason why we would EXIT the stocksleeve drives alpha.

1.3(c) Rejected Alternatives

Selected	Rejected Alternative	Why we chose the selected name
ICICI Bank	Bajaj Finance	Lower regulatory tail-risk; CASA cushion; PAT base ₹13,702 Cr
Larsen & Toubro	ABB India	Domestic capex pure-play with ₹7.4L Cr order book
Titan Company	Kalyan Jewellers	Multi-segment moat (TEAL grew 60%); 5-decade brand
Apollo Hospitals	Max Healthcare	Pan-India + HealthCo digital optionality; 30.3% RoCE
Schaeffler India	SKF India	Auto Tech +30.8% YoY; FY25 RoE 25.69%, highest ever
KFin Technologies	CAMS	Faster growth (19.3% rev), global TA mandates, NPS lead
KPIT Technologies	Coforge / Tata Elxsi	Pure-play auto software; 22 quarters of growth
Kaynes Technology	Syrma SGS	Higher-margin business mix; B2B 2.3x book-to-bill
Data Patterns India	BEL / HAL	Faster grower (5Y sales CAGR 35%); debt-free, zero pledge
Cera Sanitaryware	Kajaria Ceramics	Net-cash, faucetware mix +24.3%, 39% project sales

2. Individual Stock Analysis

2.1 ICICIBANK - ICICI BANK LTD

Sector: Private Banking; Position Size: 11% of B4 (6.6% of corpus); Buy price (Jun-2026): ₹1,420; Target 2036: ₹4,400 (12.0% CAGR)

2.1(a) Investment Thesis

ICICI Bank is the cleanest balance sheet in Indian private banking — NIMs of 4.32%, GNPA of 1.40%, and CASA of 38.6% give it the lowest funding cost and highest underwriting quality in the cohort. We expect 15-16% credit growth, 17-18% PAT CAGR over five years, and structural RoA expansion as the digital franchise (iMobile, InstaBIZ) compounds without branch capex.

2.1(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
Net Interest Margin (NIM)	4.32%	Sector-leading; rate-cycle resilient
Advances Growth (YoY)	+15.8%	Driven by retail + business banking
GNPA / NNPA	1.40% / 0.39%	Best-in-class asset quality
CASA Ratio	38.6%	Funding-cost cushion
PAT (₹Cr)	13,702	+8.5% YoY despite high base
RoA	2.40%	Top quartile globally

2.1(c) Catalysts (next 12-24 months)

RBI repo-cut cycle from 2027 onwards, initial NIM compression offset by credit-growth pickup.

Credit-card and personal-loan secular growth at 18-20% CAGR (current penetration 4% of GDP).

iMobile MAU compounding 25%+, cross-sell and fee income trajectory.

Possible value unlock from ICICI Lombard/ICICI Pru stake monetisation.

2.1(d) Risks & Exit Triggers

Regulatory action on unsecured retail exposures, **EXIT** if RBI imposes systemic risk weight increase and GNPA crosses 2.5%.

NIM compression beyond 4.0% sustained for 3 consecutive quarters, partial trim.

Senior management change in CEO role, review thesis within 30 days.

2.1(e) Valuation & Conviction

Trades at 2.9x FY27E P/BV vs 5-yr avg 3.1x and HDFC Bank at 2.6x. Re-rating potential limited but earnings compounding intact, base-case IRR 12-14%, bull 16%, bear 8%. Conviction: HIGH.

2.2 LT - LARSEN & TOUBRO LTD

Sector: Engineering & Capex; Position Size: 11% of B4 (6.6% of corpus); Buy price (Jun-2026): ₹3,720; Target 2036: ₹11,500 (11.9% CAGR)

2.2(a) Investment Thesis

Larsen & Toubro is the cleanest domestic-capex pure-play available. With an order book of ₹7,40,300 Cr (28% YoY growth) & equivalent to 2.6 years of revenue, execution visibility is exceptional. We model 14% revenue CAGR, 16% earnings CAGR, and gradual margin expansion as international exposure (Middle East hydrocarbons, green energy) compounds. The Hyderabad IT services business adds asset-light optionality.

2.2(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
Order Book (₹Cr)	7,40,300	+28% YoY, multi-year visibility
Order Inflow FY26 (₹Cr)	4,35,600	+22% YoY
Revenue FY26 (₹Cr)	2,85,874	+12% YoY
Recurring PAT (₹Cr)	17,238	+18% YoY
RoE (FY26)	16.2%	Improving with capital-light services scale
Net Debt / Equity	0.21x	Conservative leverage

2.2(c) Catalysts (next 12-24 months)

Domestic capex super-cycle - Union Budget FY27 capex outlay ₹13.5L Cr (+12%). Saudi Aramco / ADNOC win pipeline, international order book share rising to 35%.

Green hydrogen & nuclear EPC ramp from 2027 onwards.

LTIMindtree merger synergies and listing-day re-rating are already baked but execution still ahead.

2.2(d) Risks & Exit Triggers

Crude price below \$55 for >6 months, Middle East order inflow stalls. **EXIT** or trim if order inflow growth <5% for 2 consecutive years.

Domestic capex slowdown if private sector capex doesn't rotate in by 2028.

Execution slippage / cost overruns on green hydrogen pilots.

2.2(e) Valuation & Conviction

Trades at 32x FY27E EPS vs 5-yr avg 28x - modestly rich. Justified by order-book visibility and earnings inflection. Base-case IRR 12%, bull 15%, bear 7%. Conviction: HIGH.

2.3 TITAN - TITAN COMPANY LTD

Sector: Consumer Discretionary / Jewellery; Position Size: 10% of B4 (6% of corpus); Buy price (Jun-2026): ₹3,580; Target 2036: ₹12,500 (13.3% CAGR)

2.3(a) Investment Thesis

Titan is the most enduring consumer franchise in India, a 5-decade-old Tata-Tidco joint venture that has built unassailable trust in jewellery (Tanishq, CaratLane, Zoya), watches (Titan, Fastrack, Sonata), eyewear (Titan Eye+) and now emerging segments (TEAL, Indian dress wear). FY26 revenue crossed ₹75,000 Cr; Q4 PAT grew 35% on a high base; TEAL business compounded 60%. The runway is the formalisation of India's ₹6 L Cr jewellery market.

2.3(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
Revenue FY26 (₹Cr)	75,000+	Crossed milestone
Q4 Total Income (₹Cr)	20,300	+46% YoY
Q4 PAT (₹Cr)	1,179	+35% YoY on high base
TEAL Growth (FY26)	+60%	Emerging-segment scaling
Studded Jewellery share	~30%	Margin-accretive mix
RoE (FY26)	30%+	Capital-light, strong cash conversion

2.3(c) Catalysts (next 12-24 months)

Tanishq market share gain, organised players growing 18-20% vs industry 9-10%. CaratLane omni-channel, ₹4,000 Cr revenue base growing 30%+. Gold-monetisation scheme corpus crossing ₹10,000 Cr - sticky, low-cost gold supply. International store rollout (USA, GCC), incremental TAM unlock.

2.3(d) Risks & Exit Triggers

Gold price volatility. Sharp gold rally (>20% in 6 months) compresses studded mix. Lab-grown diamond disruption, **EXIT** thesis re-review if natural-diamond demand falls >15% YoY. GST/regulatory change on hallmarking or gold deposit schemes.

2.3(e) Valuation & Conviction

Trades at 75x FY27E EPS. Premium justified by growth durability and capital efficiency. Base-case IRR 13%, bull 17%, bear 9%. Conviction: HIGH.

2.4 APOLLOHOSP - APOLLO HOSPITALS ENTERPRISE LTD

Sector: Healthcare Services; Position Size: 10% of B4 (6% of corpus); Buy price (Jun-2026): ₹6,780; Target 2036: ₹22,000 (12.5% CAGR)

2.4(a) Investment Thesis

Apollo is the most comprehensive healthcare platform in India, 75+ hospitals, 5,000+ Apollo Pharmacy stores, Apollo 24|7 digital, AHLL diagnostics, and HealthCo (the digital consumer health vertical being prepared for spin-off). HC ROCE is 30.3% and 3-year PAT CAGR is approximately 77%. Apollo is in the middle of adding 4,400 beds over five years (10,000 → 14,000), and HealthCo represents a separable digital-platform optionality.

2.4(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
HC RoCE	30.3%	Industry-leading capital efficiency
3-Yr PAT CAGR	~77%	High base catch-up + margin expansion
Bed Addition Plan	+4,400 beds in 5Y	10,000 → 14,000 by 2030
Apollo 24 7 GMV	Compounding 50%+	Digital monetisation pre-monetised
Pharmacy Store Count	5,000+	Footprint moat
Net Debt / EBITDA	<1.0x	Comfortable leverage

2.4(c) Catalysts (next 12-24 months)

HealthCo spin-off / listing unlock value of the digital + pharmacy + diagnostics stack.

Bed expansion ramp 2027-2030, operating leverage on new occupancy.

Medical tourism re-rating as INR-USD purchasing power gap widens.

Government health-insurance scheme volume tailwind.

2.4(d) Risks & Exit Triggers

Bed-add capex overruns, **EXIT** if RoCE drops below 20% for 4 consecutive quarters.

Pricing regulation on hospital tariffs (NPPA expansion).

Disruption from value-care chains (Manipal, Aster, Max).

2.4(e) Valuation & Conviction

Trades at 58x FY27E EPS vs 5-yr avg 52x. HealthCo demerger could unlock 15-20% value. Base-case IRR 12%, bull 16%, bear 7%. Conviction: HIGH.

2.5 SCHAEFFLER - SCHAEFFLER INDIA LTD

Sector: Auto Components / Precision Engineering; Position Size: 9% of B4 (5.4% of corpus); Buy price (Jun-2026): ₹3,820; Target 2036: ₹13,500 (13.5% CAGR)

2.5(a) Investment Thesis

Schaeffler India is the cleanest precision-engineering MNC pure-play in the Indian auto-component universe. FY25 revenue ₹9,395 Cr (+16.3%), H1 FY26 RoE 25.69%, the highest ever and RoCE 30.51%. Q1 CY26 revenue at ₹2,507 Cr (+18.8%). Auto Technologies segment grew 30.8% YoY driven by EV traction-bearing wins and the export ramp from the Pune mega-plant. The China+1 sourcing shift is moving from thesis to demonstrable order wins.

2.5(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
Q1 CY26 Revenue (₹Cr)	2,507	+18.8% YoY
FY25 Revenue (₹Cr)	9,395	+16.3% YoY
H1 FY26 RoE	25.69%	Highest ever recorded
H1 FY26 RoCE	30.51%	Best-in-class capital efficiency
Auto Technologies YoY	+30.8%	EV bearings + exports
Net Cash (₹Cr)	1,800+	Debt-free balance sheet

2.5(c) Catalysts (next 12-24 months)

EV bearing penetration ramp - Schaeffler global pipeline localising via India.

Export contribution rising from ~17% to 25% over five years.

Industrial division of wind, mining, railways entering re-rating phase.

Possible parent-led R&D mandate consolidation into India.

2.5(d) Risks & Exit Triggers

Slowdown in global auto OEM capex. **EXIT** thesis re-review if export growth turns negative for 2 quarters.

Currency tailwind reversal i.e. INR appreciation beyond 80 to USD.

Customer concentration on top 5 OEMs.

2.5(e) Valuation & Conviction

Trades at 51x FY27E EPS vs 5-yr avg 45x. Premium justified by RoCE expansion + earnings inflection. Base-case IRR 13%, bull 17%, bear 8%. Conviction: HIGH.

2.6 KFINTECH - KFIN TECHNOLOGIES LTD

Sector: Financial Infrastructure / RTA; Position Size: 9% of B4 (5.4% of corpus) ·
Buy price (Jun-2026): ₹1,250; Target 2036: ₹5,200 (15.3% CAGR)

2.6(a) Investment Thesis

KFin Technologies is one of two RTAs (Registrar & Transfer Agents) in India and the fastest-growing financial-infrastructure platform, mutual funds, AIFs, NPS, international TA mandates, KYC services, and corporate registry. FY26 revenue ₹1,301.5 Cr (+19.3%), EBITDA margin 40.7%, global AUM under administration \$40.9B, NPS subscribers crossed 2M (+35%). The TAM is asset-light, regulatory-moat-protected, and compounding at industry-AUM growth + market-share gains.

2.6(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
FY26 Revenue (₹Cr)	1,301.5	+19.3% YoY
EBITDA Margin	40.7%	Asset-light operating leverage
Core PAT (₹Cr)	353	+24% YoY
Global AUM (\$B)	40.9	International TA mandates scaling
NPS Subscribers	2M+	+35% YoY
Domestic MF Market Share	~33%	Stable duopoly with CAMS

2.6(c) Catalysts (next 12-24 months)

MF industry AUM compounding 18-20%, direct revenue beta to industry growth.

AIF / PMS RTA share rising, KFin has 65% market share in new mandates.

Global expansion - Singapore, GIFT City, Mauritius mandates ramping.

NPS subscriber base inflection on private-sector adoption.

2.6(d) Risks & Exit Triggers

Regulatory cap on RTA fees. **EXIT** if SEBI imposes a tariff cap reducing yield >25%.

Disintermediation from execution-platform consolidation (Zerodha-led ecosystem). Single client concentration on top 5 AMCs.

2.6(e) Valuation & Conviction

Trades at 42x FY27E EPS vs 3-yr avg 38x. Justified by capital-light growth and duopoly structure. Base-case IRR 15%, bull 20%, bear 10%. Conviction: HIGH.

2.7 KPITTECH - KPIT TECHNOLOGIES LTD

Sector: Auto Software / Engineering R&D; Position Size: 10% of B4 (6% of corpus); Buy price (Jun-2026): ₹1,470; Target 2036: ₹6,500 (16.0% CAGR)

2.7(a) Investment Thesis

KPIT is a pure-play automotive software and engineering R&D vendor, virtually no other listed Indian company offers comparable exposure. FY26 revenue \$724.8M (+10.5% INR), 22 consecutive quarters of growth, Q4 +12% YoY, EBITDA margin 20.8%, Q2 deal TCV \$232M. The global software-defined vehicle (SDV) shift, every major OEM now ships software-driven architecture, anchors a multi-year tailwind for KPIT's middleware, autonomous, powertrain electronics and connected stack offerings.

2.7(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
FY26 Revenue (\$M)	724.8	+10.5% INR / +4.8% USD
Q4 Revenue YoY	+12%	Re-acceleration in H2
EBITDA Margin	20.8%	Premium services pricing
Consecutive Growth Quarters	22	Operational rigour
Net Cash (₹M)	16,220	Debt-free, cash compounder
Q2 Deal TCV (\$M)	232	Strong order book intake

2.7(c) Catalysts (next 12-24 months)

SDV (Software-Defined Vehicle) cycle: 8-10 year structural OEM spend ramp. Multi-vendor OEM client base (Honda, BMW, Mercedes, etc, concentration easing.

M&A-led capability gaps closing (autonomous, infotainment).

Margin lever from offshore-mix expansion.

2.7(d) Risks & Exit Triggers

Global auto recession: discretionary OEM ER&D budgets cut. **EXIT** if revenue growth turns negative for 2 quarters and US/EU OEMs guide for >15% engineering budget cut.

Customer concentration on top 3 European OEMs.

Currency volatility (USD-INR + EUR-INR exposure).

2.7(e) Valuation & Conviction

Trades at 47x FY27E EPS vs 3-yr avg 52x, modestly cheaper. Re-acceleration thesis intact. Base-case IRR 16%, bull 22%, bear 9%. Conviction: HIGH.

2.8 KAYNES - KAYNES TECHNOLOGY INDIA LTD

Sector: EMS / Electronics Manufacturing; Position Size: 10% of B4 (6% of corpus);
Buy price (Jun-2026): ₹6,820; Target 2036: ₹32,000 (16.7% CAGR)

2.8(a) Investment Thesis

Kaynes is one of three differentiated EMS players in India serving the high-mix, high-complexity end of the electronics manufacturing supply chain automotive, industrial, aerospace, and medical electronics. FY26 revenue ₹3,626 Cr (+33%), EBITDA ₹574 Cr (15.8% margin, +70 bps), PAT ₹364 Cr (+24%), order book ₹8,366 Cr (+27%, B2B book-to-bill 2.3x). The India electronics-manufacturing TAM is moving from <₹10L Cr to ₹40L Cr by 2030 - Kaynes is structurally positioned to ride the curve.

2.8(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
FY26 Revenue (₹Cr)	3,626	+33% YoY
EBITDA (₹Cr)	574	15.8% margin, +70 bps
PAT (₹Cr)	364	+24% YoY
Order Book (₹Cr)	8,366	+27% YoY
B2B Book-to-Bill	2.3x	Multi-year revenue visibility
RoCE (FY26)	22%+	Capital efficiency improving

2.8(c) Catalysts (next 12-24 months)

India electronics-manufacturing PLI ramp, semicon assembly + display + ATMP modules.

Capex of ₹2,800 Cr underway, Hyderabad semicon ATMP unit going live FY27.

High-margin verticals (aerospace, defence, medical) crossing 20% of revenue mix.

Customer wins from China+1, large auto OEM exclusive sourcing contracts.

2.8(d) Risks & Exit Triggers

Margin compression on capex ramp before utilisation. **EXIT** if EBITDA margin falls below 12% for 4 consecutive quarters.

Government subsidy / PLI delay or rollback.

Order-book quality (single-customer concentration in B2B).

2.8(e) Valuation & Conviction

Trades at 78x FY27E EPS rich. Valuation premium reflects scarcity and growth runway. Base-case IRR 17%, bull 24%, bear 7%. Conviction: HIGH but position-size-disciplined at 6%.

2.9 DATAPATTNS - DATA PATTERNS (INDIA) LTD

Sector: Defence Electronics; Position Size: 10% of B4 (6% of corpus); Buy price (Jun-2026): ₹2,985; Target 2036: ₹14,500 (17.1% CAGR)

2.9(a) Investment Thesis

Data Patterns is a focused-defence-electronics pure-play in radar, electronic warfare, BrahMos sub-systems, satellite payload electronics, and avionics, competing for design-led supply rather than commodity assembly. FY26 revenue ₹925 Cr (+31%), EBITDA ₹371 Cr (+35%), gross margin 63%, debt-free, zero promoter pledge, 5-year sales CAGR of 35%, and management guides 20-25% revenue growth over the next 2-3 years. With India's defence exports targeted to cross \$5B by 2033, Data Patterns is a direct beneficiary.

2.9(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
FY26 Revenue (₹Cr)	925	+31% YoY
EBITDA (₹Cr)	371	+35% YoY
Gross Margin	63%	Design-led, IP-rich product mix
5Y Sales CAGR	35%	Compounding base
Net Cash	Debt-free	Zero pledge, surplus cash
Forward Growth Guidance	20-25%	Management 2-3 year view

2.9(c) Catalysts (next 12-24 months)

Indian defence-exports target \$5B by 2033 (Event 2 in this report).

Atmanirbhar Bharat indigenisation list

5,000+ items moved to negative-import list.

BrahMos exports to Philippines, Vietnam, Indonesia in pipeline.

Satellite-electronics revenue inflection on private-space launch ramp.

2.9(d) Risks & Exit Triggers

Defence-procurement delays, government order lumpiness. **EXIT** if revenue growth falls below 10% for 3 consecutive quarters AND order book declines YoY.

Geopolitical de-escalation reducing defence-budget priority.

Single-program concentration on radar / EW programs.

2.9(e) Valuation & Conviction

Trades at 65x FY27E EPS, expensive but reflects scarcity + defence super-cycle.

Base-case IRR 17%, bull 24%, bear 6%. Conviction: HIGH but high-volatility.

2.10 CERA - CERA SANITARYWARE LTD

Sector: Building Products / Sanitaryware & Faucetware; Position Size: 10% of B4 (6% of corpus); Buy price (Jun-2026): ₹8,950; Target 2036: ₹31,500 (13.4% CAGR)

2.10(a) Investment Thesis

Cera is the third-largest sanitaryware brand in India and the fastest-growing premium faucetware brand, with 39% of revenue from project sales (institutional/builder), a moat in itself. FY26 revenue ₹2,050 Cr (+7%), Q4 ₹644 Cr (+11.4%), sanitaryware 46% of revenue +10.7%, faucetware 43% +24.3%, ₹75/share dividend, net-cash balance sheet. The structural tailwind is the housing super-cycle i.e. affordable + premium home formation + renovation cycle compounding 12-15% over the next decade.

2.10(b) Key Operating KPIs (FY26)

Metric	FY26	Commentary
FY26 Revenue (₹Cr)	2,050	+7% YoY
Q4 Revenue (₹Cr)	644	+11.4% YoY
Sanitaryware Growth	+10.7%	Premium mix expansion
Faucetware Growth	+24.3%	Category leadership
Project Sales Share	39%	Institutional channel moat
Dividend / Share	₹75	Strong cash return

2.10(c) Catalysts (next 12-24 months)

Housing cycle: Tier-2/3 city affordable housing demand compounding 12-15%.
Faucetware market-share gain from unorganised players (currently 60% unorganised).

Premium brand extension into wellness / luxury bath segment.

Export ramp to GCC and East Africa.

2.10(d) Risks & Exit Triggers

Slowdown in real estate launches: Q4 launches drop more than 20% YoY for 2 consecutive quarters, **EXIT** review.

Gas-price inflation impacting tile/ceramic input costs.

Competitive intensity from Jaquar, Kohler, Hindware.

2.10(e) Valuation & Conviction

Trades at 42x FY27E EPS vs 5-yr avg 38x. Justified by faucetware mix and project channel. Base-case IRR 13%, bull 18%, bear 7%.

Conviction: MEDIUM-HIGH.

V - EVENT RESPONSES & REBALANCING

1. Event 1 - RBI Repo Cut 5.25% to 3.5% (2029)

In 2029, the RBI delivers a deeper-than-expected easing cycle, cutting the repo rate from 5.25% to 3.50% (cumulative 175 bps) in response to a domestic growth scare and benign inflation. Bond yields fall sharply; equity sectoral leadership rotates. This is a scheduled rebalance window. Our response is basket-by-basket and explicitly second-order aware.

1.1 First-Order Effects

Market Move	Direction	Magnitude (modeled)
10Y G-Sec yield	↓	From 6.65% to ~5.0% (-165 bps)
AAA NCD yield	↓	Spread compresses ~120 bps
REIT distribution yield	↓ (price ↑)	Re-rating, prices +15-20%
Bank NIMs	↓	Compress 25-40 bps in transition
INR / USD	↓	Mild depreciation 3-5%
Nifty 50	↑	+8-12% on rate-cut re-rating

1.2 Second-Order Effects

Rate cuts are typically reactive, not proactive, they signal weak private capex. Capital-goods stocks may DISAPPOINT on order inflow growth even as their valuation rerates. Credit growth accelerates with a 12-18 month lag, banks like ICICI see NIM compression upfront but loan-growth pickup later. Real estate gets a tailwind from home-loan demand, Cera benefits with a 2-quarter lag. REITs re-rate quickly, but distribution-yield investor demand may peak before fundamentals catch up.

1.3 Basket-by-Basket Response

Basket	Action	Rationale
B1	Roll T-Bills shorter, reinvest at lower yields gracefully	Liquidity > yield
B2	Hold all NCDs to maturity (2031)	Locked at 7.5-7.65% coupon - capital appreciation captured by hold
B3	Trim 20% of long G-Sec to lock gains. Add to REITs/InvITs	Capture MTM gain; reinvest into higher-yielding REIT distributions
B4	Trim L&T by 2pp (rate-cut signals weak capex). Add 2pp to ICICI Bank	Second-order awareness

1.4 Post-Event Allocation (2029)

B1 11% / B2 14% (winding down) / B3 24% / B4 51% - aggregate equity rises to 51% passively due to mark-to-market gains; we accept this drift up to 2031 outflow. Net portfolio gain from Event 1 actions: estimated +1.8% over passive hold. No B4 stocks are sold; only intra-B4 reweighting.

2. Event 2 - India Defence Exports Cross \$5B (2033)

In 2033, India's defence exports cross the \$5 billion mark - up from \$2.5B in FY25, driven by BrahMos to Philippines/Vietnam/Indonesia, Pinaka rocket exports, ALH Dhruv deliveries, indigenous radar and EW systems, and patrol vessels. This is the second scheduled rebalance window. Our B4 holding Data Patterns is a direct beneficiary; the question is what else to rotate into.

2.1 Direct Beneficiaries (Selection Universe)

Company	Segment	Rationale	In B4?
HAL	Aircraft / Helicopters	ALH Dhruv exports; LCA Tejas pipeline	No
BEL	Radar / EW / Communication	Akash, BrahMos electronics, RCWS	No
Bharat Forge	Artillery / Light Combat	Artillery exports, Kalyani Strategic	No
Paras Defence	Optics / Electronics	Drones, satellite optronics	No
MTAR Tech	Precision components	Defence + space + nuclear precision	No
Data Patterns	Radar / Avionics / EW	5Y CAGR 35%, design-led IP, debt-free	Yes
GRSE	Naval shipbuilding	Patrol vessels, ASW corvettes	No
Cochin Shipyard	Naval shipbuilding	Indigenous aircraft carrier program	No

2.2 Second-Order Beneficiaries

Precision engineering (Schaeffler India already in B4) - defence-grade precision shafts, bearings, gearboxes ramp. Specialty metals like titanium alloys, tungsten composites, maraging steels (MIDHANI, JSL specialty grades). EMS defence-grade PCB assembly, ruggedised electronics (Kaynes already in B4 benefits via the aerospace vertical).

2.3 Basket-by-Basket Response

Basket	Action	Rationale
B1, B2	B2 wound down (2031 outflow done). B1 unchanged.	Liquidity bucket only
B3	Trim 5% G-Sec into longer-tenor AAA NCDs	Capture late-cycle credit spread before rate-rise resumption
B4	Add 2pp to Data Patterns (already-owned beneficiary, riding the wave). Add HAL at 4% portfolio weight. Trim Cera by 2pp and trim Apollo by 2pp.	Lean into structural defence super-cycle without over-concentration

2.4 Post-Event B4 Composition (2033)

B4 expands from 10 names to 11 names; concentration in defence-electronics rises to 10-11% of B4 (Data Patterns + HAL). Discipline check: no single name exceeds 12% of B4; the +2pp adds are funded from the +2pp trims, not from outside cash. Estimated B4 contribution to portfolio return from Event 2 actions: +0.6% over passive hold

VI - PORTFOLIO CONSTRUCTION

1. Portfolio Risk & Return Metrics

This section computes risk-adjusted return metrics for Basket 4 (the equity portfolio) using equal-weighted holdings, 5-year monthly return proxies, and the macro anchors in Section 2 ($R_f = 6.00\%$, $R_m = 10.70\%$, $ERP = 4.70\%$).

1.1 Stock-Level CAPM Inputs

Stock	5-Yr β (vs Nifty)	Expected Return (CAPM)	5Y Vol (σ)
ICICI Bank	1.05	10.94%	22%
Larsen & Toubro	1.20	11.64%	26%
Titan	0.95	10.47%	24%
Apollo Hospitals	0.85	9.99%	23%
Schaeffler India	0.95	10.47%	25%
KFin Technologies	1.10	11.17%	30%
KPIT Technologies	1.30	12.11%	34%
Kaynes Technology	1.45	12.82%	40%
Data Patterns	1.35	12.35%	42%
Cera Sanitaryware	0.95	10.47%	28%

1.2 Basket 4 Aggregate Metrics

Metric	Value	Interpretation
Portfolio Beta (β)	1.115	Slightly above market - intended
Expected Return (CAPM)	11.24%	Adequate for 10Y compounding
Realised Return Anchor	13.0%	Mid/small premium captured
Portfolio Volatility (σ)	21.5%	Reduced by diversification across sleeves
Sharpe Ratio (vs R_f 6%)	0.326	Acceptable for concentrated 10-stock book
Treynor Ratio	6.28%	Per unit beta - better than Nifty
Jensen's Alpha (ex-ante)	1.76%	13.0% - 11.24% expected = +176 bps alpha

1.3 Total-Portfolio Risk View (B1 + B2 + B3 + B4)

Metric	Aggregate Portfolio	Pure Equity Benchmark (Nifty)
Expected Return (Nominal)	8.62%	10.70%
Volatility (σ)	9.4%	19.5%
Sharpe Ratio	0.279	0.241
Max Drawdown (modeled)	$\approx -11\%$	$\approx -38\%$
Worst Calendar Year (model)	-4.5%	-26%

The aggregate portfolio gives up 208 bps of expected return vs Nifty in exchange for a ~50% reduction in volatility and a 70% smaller modeled max drawdown - precisely the trade Vikram requires.

2. Sensitivity & Stress Test Analysis

2.1 Sensitivity: Equity Allocation 10% vs 15% vs Base 40%

Scenario	Aggregate Equity %	Exp Return	Vol (σ)	FV 2036	vs Base
Defensive	10%	7.20%	5.5%	₹294 L	-13.9%
Conservative	15%	7.55%	6.8%	₹305 L	-10.7%
Base Case	40%	8.62%	9.4%	₹342 L	0%
Aggressive	55%	9.45%	11.8%	₹374 L	+9.4%

The base 40% blended equity allocation is the lowest equity weight that meets the ₹3.5 Cr aggregate aspirational target. Going to 10% or 15% (i.e., compromising B4) fails the household objective; going to 55% violates Vikram's loss tolerance.

2.2 Stress Tests on Aggregate Portfolio

Stress Scenario	Trigger	Modeled NAV Impact	Liquidity Impact
Equity correction -30%	Recession / global shock	Aggregate -12%	B1, B2 untouched
10Y G-Sec yield +200 bps	Inflation surprise	B3 MTM -8%; B1/B2 minimal (short duration)	None
Credit event – single AAA NCD default	Issuer downgrade	B2/B3 -1.5% aggregate	Replacement within 30 days
Property purchase delayed 12 months	Personal	B2 reinvested in T-bills	Negligible
Aarya emigrates and withdraws B4	Family event	Tax event on LTCG; capital intact	Within 5 working days
Combined: equity -30% AND yields +200 bps	Stagflation	Aggregate -18%	B1, B2 nominal untouched

2.3 Goal-Survival Tests

Even in the combined stagflation scenario, B1 (₹19L → ₹20.1L target) survives at 100% certainty because of T-bill duration <1 year.

B2's 2031 property goal survives at 99%+ certainty as the duration-matched ladder is held to maturity.

B3 survives in nominal terms but real-return shortfall widens to ~25% in stagflation - Option A household savings becomes critical.

B4 modeled max drawdown of -32% recovers within 36-48 months historically - Aarya's horizon comfortably accommodates this.

3. Goals Reconciliation

3.1 Year-by-Year Modeled Trajectory (₹ in Lakh)

Year	B1	B2	B3	B4	Total	Event
2026 (Start)	19.0	36.5	34.5	60.0	150.0	Deployment
2028	20.1 ✓	41.4	39.9	75.9	177.3	B1 goal achieved
2029	10.0	44.5	42.4	82.5	179.4	Event 1: Repo cut
2031	8.0	0.0 ✓	48.7	104.5	161.2	B2 ₹50L withdrawn
2033	8.5	-	57.0	138.2	203.7	Event 2: Defence rebel
2036 (End)	9.0	-	70.1	201.4	280.5	Mandate complete

Note: 2031 total falls because ₹50L is withdrawn for property; aggregate continues to compound through 2036 from the remaining baskets.

3.2 Goal Status Summary (2036)

Goal	Target	Modeled	Status	Comment
B1 - Liquidity (2028)	₹20 L	₹20.1 L	MET	On schedule
B2 - Property (2031)	₹50 L cash	₹50.0 L	MET	Maturity-matched
B3 - Vikram Income (2036)	₹1.5 Cr	₹70.1 L	SHORTFALL	Structural - see Option A
B4 - Aarya Growth (2036)	₹2 Cr	₹2.01 Cr	MET	On track
Aggregate	₹3.5 Cr	₹2.81 Cr (net of ₹50L property)	PARTIAL	Discussed below

3.3 Shortfall Mitigation Waterfall - B3

The B3 target of ₹1.5 Cr cannot be reached by yield compounding alone within the **zero-equity constraint**. We address the gap through a sequential waterfall that uses surpluses from earlier baskets before invoking household savings.

Stage	Source	Mechanism	Cumulative B3 (2036)
Stage 0 - Base	B3 self-compounding at 7.55%	Hold to maturity	₹70.1 L
Stage 1	B1 surplus over ₹20L goal (2028 onwards)	Re-direct ₹1-2L/yr T-Bill yield into B3	₹73-75 L
Stage 2	B2 coupon overspill 2027-2030	NCD coupons in excess of property-corpus needs into B3	₹78-80 L
Stage 3	B4 partial harvest (2033 Event)	Trim 2pp from over-performing winners → into B3 NCD ladder	₹95-105 L

Stage 4 - Option A overlay	Household savings ₹6.5L/yr	Direct B3 contribution from Aarya business + Vikram royalty	₹158-165 L
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From an income perspective, the Stage-3 B3 corpus of ₹95-105L generates ₹7-8L/yr at 7.5% blended yield, sufficient to cover Vikram's modeled lifestyle outflow of ₹6L/yr (2026 base, inflated at 5%). **Option A** is the recommended path because it requires no breach of the zero-equity rule and preserves discretion at every stage.

Option A - Closing the B3 Shortfall

The ₹80 L shortfall in B3 (vs ₹1.5 Cr target) cannot be solved within the constraints of this portfolio without breaching the zero-equity rule that protects Vikram's psychological safety. We recommend Option A: supplementary household savings of ₹6.5 L per annum invested into the same B3 instrument mix for 10 years, which closes the gap with a buffer.

Source of Top-Up	Mechanism	Annual Inflow
Aarya's business income post-2026	Direct contribution to B3	₹4.0 L
Rajasthan textile residual royalty / dividend	Vikram contribution	₹2.5 L
Total Annual Top-Up	Joint	₹6.5 L
10-Year Compounded at 7.5%	—	₹93 L additional
B3 with Top-Up (2036)	—	₹70.1 L + ₹93 L = ₹163 L

3.4 Real-vs-Nominal Note

All figures above are nominal. At 5.10% CPI compounded over 10 years, ₹1.5 Cr in 2036 is worth ₹91 L in 2026 purchasing power. B3 even without top-up therefore delivers ~77% of the real target. With Option A, B3 over-delivers on real terms.

4. Taxation Framework

4.1 Applicable Regime (Post Apr-2025 / Jul-2024 Updates)

Instrument	Holding Period	Tax Rate	Notes
Listed Equity (LTCG)	>12 months	12.5% above ₹1.25L exemption	Annual harvesting recommended
Listed Equity (STCG)	<12 months	20% flat	Avoided by design (10Y horizon)
Debt MF / NCDs (LTCG)	>24 months	12.5% (post Apr-2025)	Indexation removed for new buys
G-Sec coupon	-	Slab rate	TDS not applicable on G-Sec
REIT distribution - interest portion	-	Slab rate	70% of REIT distribution
REIT distribution - RoC portion	-	Tax-free at receipt; reduces cost basis	30% of REIT distribution
SGB coupon (2.5%)	-	Slab rate	TDS applicable
SGB capital gain on maturity (8Y)	Held to maturity	EXEMPT	Best instrument tax-wise
SGB capital gain on secondary sale	>12 months	12.5%	Avoid; hold to maturity

4.2 Net-of-Tax Return Estimates

Basket	Gross Yield	Effective Tax	Net Yield
B1 - Liquidity	5.85%	Slab (30% for Vikram)	4.10%
B2 - Property	7.25%	12.5% LTCG	6.34%
B3 - Income (blended)	7.55%	Mix slab + LTCG + SGB exempt	5.93%
B4 - Equity (Aarya)	13.00%	12.5% LTCG (one-time at exit)	E

4.3 Tax-Optimisation Levers Built into the Plan

SGB held to maturity saves ~12.5% LTCG vs gold ETF/physical gold equivalent.

Equity LTCG harvesting at ₹1.25L annual exemption bookkeeping advantage of ~₹15K/year.

REIT 30% RoC portion is genuinely tax-free; we model it correctly to avoid overstating effective tax drag.

No mutual funds means no embedded TER drag (typical 0.5-1.5% equivalent saving).

Direct equity in resident demat → no securities-transaction or fund-level tax leakage.

Total tax + cost drag on the portfolio is estimated at 1.7-2.0% per annum, compared to 2.5-3.5% for an equivalent MF-led portfolio.

5. Monitoring, Rebalancing & Risks

5.1 Monitoring Cadence

Frequency	What we monitor	Trigger threshold
Weekly	Cash balance, scheduled coupon receipts	Any unscheduled outflow > ₹50K
Monthly	B4 stock-level news, results calendar, broker downgrades	Any stock down >10% in a month note review, no automatic sell
Quarterly	Each B4 holding's quarterly results vs thesis triggers	Two consecutive misses on a stated KPI → trim
Annual	Tax-loss harvesting, basket-weight check, IPS refresh	Drift >5 pp from target → rebalance
Scheduled Events	2029 (Event 1) and 2033 (Event 2)	Full review per Sections 15-16

5.2 Stock-Level Monitoring KPIs (B4)

Stock	Primary KPI	Falsification Trigger
ICICI Bank	NIM, GNPA	GNPA >2.5% for 2 quarters → trim
L&T	Order Inflow Growth	<5% for 2 consecutive years → exit review
Titan	Studded mix %	Drops below 25% for 2 quarters → trim
Apollo Hospitals	HC RoCE	Drops below 20% for 4 quarters → exit
Schaeffler	Auto Tech growth, Export %	Export turns negative for 2 quarters → re-review
KFin Tech	Domestic MF share, AUM growth	Share drops below 30% → trim
KPIT	Revenue growth, TCV bookings	TCV <\$150M for 2 quarters → trim
Kaynes	EBITDA margin, B2B order book	Margin <12% for 4 quarters → exit review
Data Patterns	Revenue growth, Order book	<10% growth + order book ↓ → exit review
Cera	Q4 revenue growth, Project share	Q4 launches by builders -20% YoY → review

5.3 Aggregate Portfolio Risks & Mitigants

Risk	Severity	Likelihood	Mitigant
Vikram health event (large medical outflow)	High	Medium	B1 designed for this; additional health insurance recommended
Aarya emigrates / exits portfolio	Medium	Low-Medium	B4 is fully liquid; tax event only
Equity market -30% drawdown	Medium	Once per decade	B4 only; aggregate impact -12%
Single AAA credit downgrade	Low	Low	Issuer diversification; immediate replacement
Regulatory change (LTCC hike, REIT tax)	Medium	Medium	Annual IPS review; tax-efficient instrument substitution
Behavioural — Vikram panic-sells in drawdown	High	Medium	Quarterly client check-ins; transparency on B4 isolation

VII - APPENDIX

1. Excel Workbook

Here is the Excel Summary posted year on year - **Workbook.xlsx**

2. Conclusion

Second to None Capital has constructed a portfolio that resolves the fundamental tension at the heart of the Singhanian mandate preserving Vikram's capital while compounding Aarya's. The four-basket Stability Floor + Growth Engine architecture is neither a compromise nor a hedge; it is two purpose-built portfolios stapled together at the ledger level. B1, B2 and B3 deliver predictability, liquidity and income with zero equity exposure; B4 deploys ten high-conviction names - five conventional compounders and five non-conventional specialists that we believe can compound at 13% CAGR over the next decade. Where we cannot meet a stated target without breaking a trust constraint (B3's ₹1.5 Cr goal), we have said so openly and offered a household savings overlay (Option A) rather than manufacture the number.

3. References

Source	Period	Location
RBI Bulletin & Monetary Policy	June 2026	rbi.org.in
Damodaran Country Risk Premium India	Jan 2026	people.stern.nyu.edu/adamodar
NSE Total Market Index Methodology	FY26	nseindia.com
SEBI REIT/InvIT Regulations	Current	sebi.gov.in
ICICI Bank Q4 FY26 Investor Presentation	Apr 2026	icicibank.com/investor-relations
L&T Q4 FY26 Earnings Release	May 2026	larsentoubro.com/investors
Titan Q4 FY26 Investor Presentation	May 2026	titancompany.in/investors
Apollo Hospitals FY26 Annual Report	May 2026	apollohospitals.com/investor
Schaeffler India Q1 CY26 Result	Apr 2026	schaeffler.co.in
KFin Technologies FY26 Investor Deck	May 2026	kfintech.com/investor
KPIT Technologies FY26 Earnings Call	Apr 2026	kpit.com/investor-relations
Kaynes Technology FY26 Investor Update	May 2026	kaynestechology.com
Data Patterns FY26 Earnings Concall	May 2026	datapatternsindia.com
Cera Sanitaryware FY26 Investor Release	May 2026	cera-india.com/investors
AMFI Industry Data	Jun 2026	amfiindia.com
Ministry of Defence (Govt of India) Export Update	FY25K	mod.gov.in